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JUDGMENT SHEET

**LAHORE HIGH COURT, MULTAN BENCH,
MULTAN
JUDICIAL DEPARTMENT**

Regular First Appeal No. 174 of 2024

Muhammad Younis and another

Versus

Chairperson Insurance Tribunal and two others

JUDGMENT

Date of hearing:	21.05.2025
Petitioners/Appellants by:	Mr. Zahoor Ahmad Chaudhry, Advocate
Respondents No.2 & 3 by:	Mr. Kanwar Naveed Ahmad, Advocate

SYED AHSAN RAZA KAZMI, J.- The petitioners/appellants have filed the instant Insurance Appeal under Section 124(2) of the Insurance Ordinance, 2000 read with Section 151 CPC against the order dated 23.05.2024 passed by the learned Chairperson, Insurance Tribunal, Multan whereby their petition was dismissed as not maintainable in view of Section 18 of the Federal Ombudsman Institutional Reforms Act, 2013.

2. Briefly stated, the case of the appellants is that Mst. Samina Bibi, wife of Asif, had obtained membership from Pak Qatar Family Takaful Limited under a "Share & Care Plan (Silver) Type Death Benefit" in March 2022, paid the first premium of Rs. 1,10,000/-, and nominated the appellants (her real brother and mother) as nominees in the event of her death. Upon her demise on 23.08.2022, a death claim of Rs. 40,00,000/- was submitted by the appellants, which the private respondents allegedly failed to pay despite repeated requests.

3. The appeal is accompanied by C.M. No. 02/2024, an application under Section 5 read with Section 14 of the Limitation Act, seeking condonation of delay in its institution.

4. We shall first take up the question of limitation.

5. The applicants asserted that the delay occurred due to a miscalculation during Eid vacations, which they argue constitutes a sufficient cause. However, the explanation offered is vague, unsupported by any evidence, and does not qualify as "sufficient cause" under the strict interpretation of limitation law. The Supreme Court of Pakistan has consistently held that each day of delay must be explained satisfactorily and that casual or administrative oversights do not justify condonation.

6. In the present case, no substantive cause has been made out to warrant relaxation of the statutory limitation. The applicants' plea of oversight due to vacations fails to meet the threshold required for condonation. Accordingly, C.M. No. 02/2024 is **dismissed**.

7. Even otherwise, it is an admitted fact that, prior to approaching the Insurance Tribunal, the appellants had already filed a complaint before the Federal Insurance Ombudsman regarding the same policy. The Ombudsman, vide order dated 21.06.2023, directed payment of Rs. 1,10,000/- to the appellants equally. The appellants' subsequent review petition filed under section 13 of Federal Ombudsman Institutional Reforms Act, 2013(**Act**) was also dismissed by the Federal Ombudsman on 27.09.2023. Against order dated 27.09.2023 no representation was filed under section 14 of the Act before the President of Pakistan as indicated by the record.

8. In view of Section 18 of the Federal Ombudsman Institutional Reforms Act, 2013(**Act**), the learned Tribunal rightly held that the appellants' petition was not maintainable before the Insurance Tribunal. The relevant portion of Section 18 provides:

“No court or authority shall have jurisdiction to entertain a matter which falls within the jurisdiction of an Ombudsman nor shall any court or authority assume jurisdiction in respect of any matter pending with or decided by an Ombudsman.”

A plain reading of Section 18 reveals that once the Federal Ombudsman has initiated proceedings or decided a matter, no court or tribunal shall take cognizance of that matter. The provision clearly bars

parallel proceedings or subsequent litigation on the same subject before any other forum.

9. Learned counsel for the appellants argues that Section 18 does not bar the Insurance Tribunal from proceeding with the matter. He relies on a judgment reported as Wafaqi Mohtasib Secretariat, Islamabad and others vs. SNGPL, Lahore and others (PLD 2020 SC 586), contending that the Federal Ombudsman's findings are recommendatory in nature, and not binding, and hence, do not preclude the Insurance Tribunal from independently adjudicating the matter.

10. The argument is misconceived. Firstly, the cited judgment is based on distinguishable facts and the same is not applicable to the present case. In fact, in the same decision, the Supreme Court of Pakistan deliberated upon the institutional character of the Ombudsman Secretariat, clarifying its jurisdiction, binding authority, and statutory mandate within the legal framework. Moreover, through exercise of judicial review, this Court has examined Section 18 in detail and found it to be legally valid, enforceable, and constitutionally compliant. It was further held that being a quasi-judicial forum, the Ombudsman cannot assume the role of a litigant or act as a party to assert or defend its own orders in appellate or judicial proceeding. Reliance is placed on the case of Muhammad Asif vs. Federation of Pakistan and others (2017 CLC 767).

11. A perusal of the record reveals that multiple legal remedies were available to the petitioner under the statutory framework. The petitioner, if aggrieved by the order passed by the Federal Insurance Ombudsman, could have invoked the remedy of filing a representation before the President of Pakistan, as envisaged under section 14 of the Act. However, no such recourse was taken. In addition, Section 130(2) of the Insurance Ordinance, 2000 provides a specific right of appeal against the order of the Ombudsman before the Securities and Exchange Commission of Pakistan, which too was left unavailed. Although originally Section 130(4) of the Ordinance saved the remedy of civil suit, however, enactment of section 18 of the Act has repealed the same by implication being a legislative expression to the contrary later in time

12. There is no dispute with the general principle that a litigant may, in certain situations, have multiple remedies available under the law. However, it is equally settled that once a remedy is elected and exhausted, the law does not permit the litigant to invoke a parallel or successive remedy before another forum on the same cause of action. This doctrine not only prevents forum shopping but also ensures finality in litigation. The Supreme Court of Pakistan has consistently held that multiplicity of proceedings undermines judicial discipline and opens doors to conflicting outcomes. Reliance is placed on the case of Chief Executive Officer NPGCL, GENCO-III, TPS Muzaffargarh vs. Khalid Umar Tariq Imran and others (2024 SCMR 518).

13. In the present case, the appellants themselves elected to file their claim before the Federal Ombudsman, accepted the adjudicated compensation, and also pursued a statutory review, which was dismissed. Having fully availed and exhausted the Ombudsman's jurisdiction, the appellants cannot now seek to re-agitate the same grievance before the Insurance Tribunal. The principle of finality squarely applies.

14. Accordingly, this appeal being barred under Section 18 of the Federal Ombudsman Institutional Reforms Act, 2013 and hit by the Doctrine of Election as well as law of limitation, is found to be devoid of merit and stands **dismissed**. No order as to costs.

(RAHEEL KAMRAN)
JUDGE

(SYED AHSAN RAZA KAZMI)
JUDGE

APPROVED FOR REPORTING

JUDGE

JUDGE